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Sichuan Kelun Pharmaceutical Co Ltd | Asia Pacific

OptiTROP-Lung06 Met Primary Endpoint - A Major Global Relevant Clinical Validation for sac-TMT

The event: Subsidiary Kelun-Biotech announced the China Phase 3 study (OptiTROP-Lung06) of sac-TMT+Keytruda (vs. chemo+Keytruda) as first-line treatment in PD-L1 TPS<1% nsqNSCLC has met its primary endpoint of PFS as assessed by BICR at interim analysis, and a positive trend in OS was also observed. Safety profile is consistent with previous studies with no new safety signals. We also await full clinical data to be presented at ESMO 2026.

Our view: Recall that the China Phase 3 study (OptiTROP-Lung05) of sac-TMT + Keytruda in 1L PD-L1 TPS ≥1% pts had met PFS endpoint earlier, with data presented at ASCO 2026 (see our take [here](#) and [here](#)). We have previously highlighted outcomes of the OptiTROP-lung06 trial as one of the most relevant clinical milestones of sac-TMT in the global landscape, where partner Merck (covered by Terence Flynn) is running 17 global Ph3 trials. Our global team sees upside to its current 2035 risk-adjusted sac-TMT sales estimate of US\$4.1bn (55% PoS), vs. Visible Alpha consensus of US\$5.9bn ([note](#)).

Regulatory path in China and US: In China, company indicated that it plans to discuss with the NMPA for BLA filing soon. In the US, Merck may pursue a BLA filing in the first indication of 2L+ EC using the National Priority Voucher, which would unlock registration milestones and sales royalties to Kelun.

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Sichuan Kelun Pharmaceutical Co Ltd (002422.SZ, 002422 CS)

China Healthcare | China

Stock Rating	Underweight
Industry View	Attractive
Price target	Rmb29.00
Up/downside to price target (%)	(40)
Shr price, close (Jul 14, 2026)	Rmb48.50
52-Week Range	Rmb52.78-28.14
Sh out, dil, curr (mn)	1,598
Mkt cap, curr (mn)	Rmb77,506
EV, curr (mn)	Rmb77,251
Avg daily trading value (mn)	Rmb608

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (Rmb)**	1.83	1.01	1.19	1.48
EPS (Rmb)§	1.91	1.19	1.29	1.60
Revenue, net (Rmb mn)	21,812	17,831	18,242	19,460
ModelWare net inc (Rmb mn)	2,936	1,610	1,904	2,365
P/E	16.3	29.1	40.7	32.8
P/BV	2.1	2.0	3.2	3.0
ROE (%)	14.9	7.2	8.1	9.6
EV/EBITDA	9.3	16.2	22.4	18.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Sichuan Kelun Pharmaceutical Co Ltd (002422.SZ)

Base case, discounted cash flow methodology. We use this method because the company is FCF positive and mature, and generates sustainable earnings. We assume a WACC of 8.7% (COE of 9.1%), and a steady growth rate of 3%.

We also use a SOTP-based approach to back out the implied holdco discount at 51%, after deducting the value from IV infusion (15x P/E), generics (12x), current mkt cap of Chuaning, and Kelun Biotech.

Risks to Upside

- Early product launches
- API price hikes

Risks to Downside

- Continual rounds of centralized procurement coming to generic drug categories
- Large infusions segment saturation with flat or declining revenue growth
- Fluctuations in API pricing
- Pipeline setbacks or failures of novel and generic drugs
- Pace of drug launches not meeting market expectations

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Sichuan Kelun Pharmaceutical Co Ltd (002422.SZ) - As of 07/15/26 GMT in CNY
Industry : China Healthcare



Stock Rating History: 7/1/21 : E/A; 7/26/21 : U/A; 7/31/23 : E/A; 5/16/25 : U/A

Price Target History: 1/12/21 : 22.5; 7/26/21 : 16.3; 9/22/21 : 14.8; 12/9/21 : 13.85; 6/28/22 : 14.1; 2/23/23 : 20; 7/31/23 : 31; 11/14/23 : 32; 2/20/24 : 35; 5/6/24 : 41; 5/16/25 : 31; 7/21/25 : 32; 12/10/25 : 30; 1/27/26 : 29

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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INDUSTRY COVERAGE: China Healthcare

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Alexis Yan, CFA		
3SBio (1530.HK)	O (08/01/2025)	HK\$17.39
Adicon Holdings Ltd (9860.HK)	O (08/03/2023)	HK\$3.87
Aier Eye Hospital Group (300015.SZ)	U (07/08/2024)	Rmb8.40
Alibaba Health Information Technology (0241.HK)	U (05/28/2025)	HK\$3.30
Angelalign Technology Inc (6699.HK)	E (03/17/2023)	HK\$73.35
APT Medical Inc (688617.SS)	O (10/21/2025)	Rmb204.00
Beauty Farm Medical and Health Industry (2373.HK)	O (01/21/2026)	HK\$17.52
Beijing Tiantan Biological Products Corp (600161.SS)	O (05/27/2024)	Rmb12.32
China Resources Boya Bio-pharmaceutical (300294.SZ)	E (05/27/2024)	Rmb15.12
CSPC Pharmaceutical Group (1093.HK)	O (08/15/2012)	HK\$8.11
Dian Diagnostics Group Co Ltd (300244.SZ)	E (07/12/2022)	Rmb19.86
Fosun Pharmaceutical (2196.HK)	O (09/08/2025)	HK\$16.55
Fosun Pharmaceutical (600196.SS)	O (09/08/2025)	Rmb24.05
Guangzhou Kingmed Diagnostics (603882.SS)	U (07/08/2024)	Rmb27.00
Gushengtang Holdings Ltd (2273.HK)	O (07/08/2024)	HK\$29.92
Hansoh Pharmaceutical Group Co Ltd (3692.HK)	O (07/16/2019)	HK\$32.56
Huadong Medicine Co Ltd (000963.SZ)	U (05/06/2024)	Rmb29.94
Hygeia Healthcare Holdings Co., Ltd. (6078.HK)	O (07/30/2020)	HK\$10.16
Imeik Technology Development Co Ltd (300896.SZ)	U (01/21/2026)	Rmb86.46
JD Health International Inc. (6618.HK)	E (05/28/2025)	HK\$36.96
Jiangsu Hengrui (600276.SS)	O (07/01/2025)	Rmb54.82
Jiangsu Hengrui (1276.HK)	O (07/01/2025)	HK\$58.30
Jinxin Fertility Group Ltd (1951.HK)	U (07/14/2025)	HK\$2.10
MicroPort Scientific Corp. (0853.HK)	E (09/25/2023)	HK\$6.65
Mindray Bio-Medical (300760.SZ)	O (07/15/2020)	Rmb139.96
Peijia Medical Ltd (9996.HK)	O (06/18/2020)	HK\$4.16
Ping An Healthcare and Technology (1833.HK)	E (05/28/2025)	HK\$7.55

Shandong Weigao (1066.HK)	E (07/10/2020)	HK\$3.29
Shanghai United Imaging Healthcare Co (688271.SS)	E (02/21/2025)	Rmb110.21
Shenzhen Edge Medical (2675.HK)	O (02/16/2026)	HK\$38.44
Shenzhen New Industries (300832.SZ)	O (05/28/2024)	Rmb43.55
Sichuan Kelun Pharmaceutical Co Ltd (002422.SZ)	U (05/16/2025)	Rmb48.50
Simcere Pharmaceutical Group (2096.HK)	E (05/16/2025)	HK\$12.54
Sino Biopharmaceutical (1177.HK)	O (04/09/2019)	HK\$5.11
Zylox-Tonbridge Medical Technology Co. (2190.HK)	O (08/05/2021)	HK\$19.57
Clinton Ng		
China Medical System (0867.HK)	E (05/16/2025)	HK\$12.33
Jack Lin		
Abbisko Cayman Ltd (2256.HK)	O (11/17/2021)	HK\$10.66
Akeso, Inc. (9926.HK)	O (05/28/2020)	HK\$95.85
Duality Biotherapeutics Inc (9606.HK)	O (05/22/2025)	HK\$222.80
Everest Medicines Ltd (1952.HK)	E (03/15/2024)	HK\$27.60
HUTCHMED (China) Ltd (0013.HK)	E (05/29/2026)	HK\$17.82
HUTCHMED (China) Ltd (HCM.O)	E (05/29/2026)	US\$11.25
InnoCare Pharma Ltd (9969.HK)	O (05/29/2026)	HK\$14.35
Innovent Biologics Inc (1801.HK)	O (03/03/2026)	HK\$90.05
Insilico Medicine (3696.HK)	O (02/03/2026)	HK\$46.32
Keymed Biosciences Inc. (2162.HK)	O (08/10/2021)	HK\$80.75
Nanjing Leads Biolabs Co Ltd (9887.HK)	E (09/02/2025)	HK\$60.25
RemeGen Co., Ltd. (9995.HK)	E (05/08/2024)	HK\$82.50
VISEN Pharmaceuticals (2561.HK)	O (04/29/2025)	HK\$19.99
Zai Lab Ltd (ZLAB.O)	O (12/14/2023)	US\$19.30
Zai Lab Ltd (9688.HK)	O (12/14/2023)	HK\$15.45
Laurence Tam		
Acrobiosystems Co Ltd (301080.SZ)	O (09/11/2025)	Rmb53.31
Apeloa Pharmaceutical Co Ltd (000739.SZ)	O (02/28/2025)	Rmb19.09
Asymchem Laboratories. Inc (002821.SZ)	E (08/01/2025)	Rmb177.95
Asymchem Laboratories. Inc (6821.HK)	E (06/06/2023)	HK\$127.60
Beijing Tongrentang (600085.SS)	U (11/03/2014)	Rmb24.75
Beijing Tongrentang Chinese Medicine (3613.HK)	O (01/14/2015)	HK\$6.75
China National Accord Medicines Corp Ltd (000028.SZ)	U (07/25/2022)	Rmb20.77
China Resources Pharmaceutical Group Ltd (3320.HK)	O (06/16/2022)	HK\$4.62
China Resources Sanjiu Medical & Pharma (000999.SZ)	O (08/30/2019)	Rmb24.88
China Traditional Chinese Medicine (0570.HK)	U (01/17/2025)	HK\$1.45
DaShenLin Pharmaceutical (603233.SS)	O (07/25/2022)	Rmb19.68
Dong E E Jiao Co. (000423.SZ)	O (05/16/2024)	Rmb49.07
Fu Shou Yuan International Group Ltd (1448.HK)	E (03/19/2025)	HK\$2.64
Genscript Biotech Corporation (1548.HK)	O (08/14/2024)	HK\$14.28
Hangzhou Tigermed Consulting (300347.SZ)	O (08/01/2025)	Rmb48.70
Jiangzhong Pharmaceutical Co. Ltd. (600750.SS)	O (02/08/2024)	Rmb24.77
Joinn Laboratories China Co Ltd (603127.SS)	E (06/06/2023)	Rmb46.02
Joinn Laboratories China Co Ltd (6127.HK)	E (02/26/2024)	HK\$22.20
Jointown Pharmaceutical Group (600998.SS)	U (07/26/2021)	Rmb5.21
LBX Pharmacy Chain (603883.SS)	O (03/14/2022)	Rmb11.94
Medtide (3880.HK)	E (08/06/2025)	HK\$24.10
Nanjing King-friend Biochemical (603707.SS)	O (02/28/2025)	Rmb7.85
Pharmaron (3759.HK)	O (09/25/2024)	HK\$23.60
Pharmaron (300759.SZ)	E (09/25/2024)	Rmb36.93
Shandong Xinhua Pharmaceutical Co Ltd (000756.SZ)	U (02/28/2025)	Rmb14.60
Shanghai Pharmaceutical (601607.SS)	E (08/17/2021)	Rmb16.61
Shanghai Pharmaceutical (2607.HK)	O (08/17/2021)	HK\$11.88
Shenzhen Hepalink Pharmaceutical (002399.SZ)	U (06/16/2023)	Rmb9.86

Sinopharm Group (1099.HK)	O (02/10/2023)	HK\$17.01
Tasly Pharmaceutical Group Co. Ltd (600535.SS)	E (07/19/2024)	Rmb14.59
The United Laboratories (3933.HK)	E (06/13/2017)	HK\$9.12
Tofflon Science & Technology Group (300171.SZ)	E (09/11/2025)	Rmb12.07
WuXi AppTec Co Ltd (603259.SS)	O (01/17/2019)	Rmb127.51
WuXi AppTec Co Ltd (2359.HK)	O (01/17/2019)	HK\$158.10
WuXi Biologics Cayman Inc (2269.HK)	O (07/17/2017)	HK\$38.20
WuXi XDC Cayman Inc. (2268.HK)	O (12/22/2023)	HK\$58.50
Yantai Dongcheng Biochemicals Co Ltd (002675.SZ)	E (02/28/2025)	Rmb13.06
Yifeng Pharmacy Chain Co Ltd (603939.SS)	O (07/25/2022)	Rmb21.35
Yixintang Pharmaceutical (002727.SZ)	E (07/25/2022)	Rmb10.80
Yunnan Baiyao Group (000538.SZ)	O (10/11/2021)	Rmb50.05
Zhangzhou Pientzhuang Pharmaceutical (600436.SS)	U (01/21/2022)	Rmb126.62
Zhejiang Hisun Pharmaceutical Co. Ltd. (600267.SS)	U (06/01/2023)	Rmb11.59
Zhejiang Huahai Pharmaceutical Co. Ltd. (600521.SS)	O (06/01/2023)	Rmb16.97
Zhejiang Jiuzhou Pharmaceutical Co Ltd (603456.SS)	E (02/28/2025)	Rmb15.08
Zhejiang Medicine Co. Ltd. (600216.SS)	E (02/28/2025)	Rmb12.17

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